تام المالية
TAM CAPITAL

OPERATIONAL PROCEDURES

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Approved by: **Board of Directors**
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1. INTRODUCTION

The Operational Procedures have been approved by the CEO of Tam Capital ("Company"). It represents an enforceable document and is an integral part of Company's back-office operations which supports the business functions of the Company, especially asset management business.

2. REFERENCE TO OTHER DOCUMENTS

These procedures may be read in conjunction with following regulations and internal documents:

- Capital Market Law
- Capital Market Institutions Regulations
- Investment Fund Regulations (IFR)
- Real Estate Investment Fund Regulations (REIFR)
- Compliance Policy
- Account Opening Procedures
- Other relevant documents

3. KEY CONSIDERATIONS

The Operations Department must consider the following key matters based on CMA regulations which shall enable the department to develop and implement necessary procedures in line with regulatory requirements.

3.1 Client Money

As per CMIR, client money must be preserved in a client money account with a local bank. Accordingly, customers of the company will be required to have a current accounts with a local bank. The Company will open investment accounts for its customers. Such accounts will be linked with their current accounts to facilitate their investment transactions. The Company will ensure complete separation of client money from the company's assets. Consequently, customers can withdraw or deposit from/into their investment account through transferring money from or to their current account maintained with a bank.

3.2 Client Assets

The Company, in capacity of it being a fund manager, must appoint one or more custodians in the Kingdom to take custody of the assets of the investment funds which the fund manager manages. The custodian must be appointed pursuant to a written contract. The custodian appointed so must not be a fund manager or a fund sub-manager to the relevant fund, or an affiliate of the fund manager or to the fund sub-manager. The custodian appointed must be a Capital Market Institution licensed to carry out custody activity.

3.3 Record-keeping

The Company, in its capacity of being a fund manager, must maintain the books and records of all investment funds, which the fund manager manages. In addition, the fund operator must maintain the books and records related to the operation of all the funds it operates. The fund operator must maintain, at all times, records of all units issued and cancelled, and must maintain an up to date record of the balance of outstanding units for each fund under its operation.

The fund manager and fund operator must maintain all books and records in accordance with CMIR for a period of (10) years unless the Authority determines otherwise. The fund manager and fund operator must maintain copies of all books and records required for a longer period in the event such books and records relate to any litigation or claim (including any pending or threatened litigation) or any on-going investigations procedures. The fund manager and fund operator must maintain such books and records until the closure of that litigation, claim or on-going investigation procedures.

3.3 Net Asset Value

The fund manager shall be responsible for calculating the price of the units in a public fund that it operates. The price of units for subscriptions and redemptions on any dealing day shall be calculated by reference to the net asset value per unit of the public fund at the valuation point on the relevant dealing day. The fund manager must publish the net asset value per unit on the business day following the dealings day on its website and any other website available to the public according to the controls set out by the Authority;

The fund operator must record each instance where an asset of the public fund is valued incorrectly or the price of a unit is calculated incorrectly. The fund operator must compensate all harmed unitholders (including former unitholders) as soon as reasonably practicable for all valuation or pricing errors. The fund manager must immediately report to the Authority any valuation or pricing error of (0.5%) or more of the price of a unit and disclose it immediately on its website and any other website available to the public according to the controls set out by the Authority. The fund manager, in its reports to the Authority pursuant to Article (77) of IFR, must provide a summary of all valuation and pricing errors.

4. PROCEDURES – DISCRETIONARY PORTFOLIOS (DPM)

4.1 New DPM Setup

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. Receive the DPM agreement from AM department with a confirmation of client transferred amount. 2. Wait for the payment from the client to be credited through bank transfer (DPM Pool Account). 3. Enter the received amount in the AM system.
Operation Senior\Manager	4. Post the transaction in order to reflect the cash for the client in AM system.
Operation Coordinator\Officer	5. Prepare a payment letter to transfer amount from the DPM Pool account to the client portfolio account and forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	6. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the transfer request.
Operation Coordinator\Officer	7. Obtain two approvals of the payments then make sure to transfer amount to the portfolio and reconcile the accounts.

4.2 NAV & Unit Price Valuation

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. Send executed trades received from the broker for all our DPMs to IT Department in order to upload it into AM system. 2. Send closing prices generated from (Bloomberg, Tadawul … etc) to IT Department in order to upload it into AM system. 3. Valuations Basis: Net asset value of fund is calculated daily: • Cash held in the Investment Account. • Market value of the securities held in the portfolio. • Plus cash dividends declared and receivable on the securities held. • Plus value of the free/bonus shares declared but not deposited • Plus unrealized commission income on the investments held. • Plus any other unrealized income receivable. • Minus all expenses such as bank fees, bank commission and other expenses accrued and payable • Bank accounts balances and pending with other party • Equals the Net Asset Value (NAV) / Outstanding units and calculate new Unit Price. 4. After reconcile the assets side calculate the Fees via AM system. 5. System shall generate updated Net Asset Value as per standards for the DPMs. 6. Shall check the accuracy and authenticity of the NAV. 7. Review the valuations and send it to Operations Senior\Manager for his review and approval. <u>Note that:</u> • Refer to the DPM agreement for the Fees % or any fees waive. • Operations manager will refers any mismatches unsolved within 7 days to the Compliance Department, that they will report the case to CMA.
Operation Senior\Manager	8. Receives NAV and new unit price from Operations Coordinator\Officer for review and approval.
Operation Coordinator\Officer	9. Save the daily valuation in the fund valuation file and archive it in Operation Department.

4.3 DPM Reconciliations

RESPONSIBILITY	ACTIVITIES
Operations Coordinator/officer	1. Prepare daily reconciliation for the DPM pool account cash balance. 2. Matching the balance in the DPM pool account with the DPM cash reconciliations AM report in the system.
Operation Senior\Manager	3. Receives the reconciliations from Operations Coordinator\Officer for review and approval.
Operations Coordinator/officer	4. Save the daily reconciliations in the file and archive it in Operation Department.

4.4 Collecting Management Fees

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. At the beginning of the first week of the month\quarter or year, Operations will generate the NAV of the DPMs from AM system and reconcile the pending fees. 2. Ensure availability of cash in the portfolio. If not, forward it to the DPM manager for his action. 3. Prepare the cash transfer letter to transfer the pending fees from the DPM portfolio to Finance Department.
Operation Senior\Manager	4. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the payment.
Operation Coordinator\Officer	5. Obtain two approvals of the payment then make sure to transfer the amount of pending fees to finance and reconcile the DPM account. 6. Save the payment in the file and archive it in Operation department.

4.5 Corporate Action

Operations will monitor for all corporate actions (Cash Dividends, Bonus Shares, Rights Share etc.) on Tadawul, Argaam or Bloomberg.

RESPONSIBILITY	ACTIVITIES
Cash Dividends	1. Operations will check for any cash dividends. 2. Operation Coordinator\Officer will Post the announcement details including date and amount in AM system. 3. Operation Senior\Manager will review and approve the entry in AM system in order to reflect it in the system. 4. Operation Coordinator\Officer will reconcile all portfolios in the system. 5. Ensure cash dividend is reflected in the bank account
Bonus Shares	6. Operations will check for any bonus shares. 7. Operation Coordinator\Officer will run the bonus shares in the system after entering the date and amount, then it will hit the AM system. 8. Operation Senior\Manager will review and approve the entry in AM system in order to reflect it in the system. 9. Operation Coordinator\Officer will reconcile all portfolios in the system. 10. Ensure bonus shares are reflected in the client portfolio
Right Shares	11. Operations will receive the instruction to subscribe in the right share from the DPM Manager. 12. Operation Coordinator\Officer will check the availability of cash in the portfolio then prepare a transfer payment letter to transfer the amount of the right shares from the portfolio to the company. 13. Operation Senior\Manager will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the payment. 14. Operation Coordinator\Officer should obtain two approvals of the payment then make sure to transfer the amount of right shares to the company, post the right shares entree in the AM system with date and amount. 15. Operation Senior\Manager will review and approve the entry in AM system in order to reflect. 16. Operation Coordinator\Officer will reconcile all portfolios in the system.
Collections	17. Operations will receive the amount in the cash ledger of the portfolio if it's a cash dividends, However, if it's a bonus or right shares we will receive the shares in the holding report of the portfolio.

18. Operation Coordinator\Officer will reconcile the portfolios and post the entry in the AM system with all details, then Operations Senior\Manager will review and approve.

4.6 Invest in IPOs

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. Receive the offering and instruction to invest in the IPO for selected DPM Clients. 2. will check the availability of cash in the portfolio then prepare a transfer payment letter to transfer the amount of the IPO allocation from the portfolio of the client to the IPO company then forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	3. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the payment.
Operation Coordinator\Officer	4. Obtain two approvals of the payment then make sure to transfer the amount of the IPO and reconcile the DPM account. 5. Post the IPO invest entry in the AM system with date and amount.
Operation Senior\Manager	6. Will review and approve the entry in AM system in order to reflect.
Operation Coordinator\Officer	7. Will reconcile all portfolios in the system and save the payment in the file and archive it in Operation department.
Collections	8. Operations will receive the amount in the cash ledger of the portfolio if it's a cash dividends, However, if it's a bonus or right shares we will receive the shares in the holding report of the portfolio. 9. Operation Coordinator\Officer will reconcile the portfolios and post the entry in the AM system with all details, then Operations Senior\Manager will review and approve.

4.7 Cash Transfer Out

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. Receive the Outward money transfer form from AM Department with signatures from the client and DPM Manager. 2. Prepare a payment letter to transfer the amount from the client portfolio to the DPM Pool account then to the client personal account (as per KYC) and forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	3. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the transfer request.
Operation Coordinator\Officer	4. Obtain two approvals of the payment then make sure to transfer the amount to the client account and reconcile the DPM account. 5. Post the cash out entry in the AM system with date and amount.
Operation Senior\Manager	6. Will review and approve the entry in AM system in order to reflect.
Operation Coordinator\Officer	7. Will reconcile all portfolios in the system and save the payment in the file and archive it in Operation department.

4.8 DPM Liquidation

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. Receive a DPM liquidation request from DPM Manager. 2. Check if there are any pending fees on the portfolio that we will deduct and the rest will be transfer to the client. 3. Prepare a payment letter to transfer the total amount from the client portfolio to the DPM Pool account then to the client personal account (as per KYC) and forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	4. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the transfer request.
Operation Coordinator\Officer	5. Obtain two approvals of the payment then make sure to transfer the amount to the client account and reconcile the DPM account. 6. Post the cash out entree in the AM system with date and amount.
Operation Senior\Manager	7. Will review and approve the entry in AM system in order to reflect.
Operation Coordinator\Officer	8. Will reconcile all portfolios in the system and save the payment in the file and archive it in Operation department.

5. PROCEDURES – FUNDS

5.1 Fund Account Set-up

RESPONSIBILITY	ACTIVITIES
Fund Manager	1. After CMA approval for new fund, the Fund Manager will inform Operations Department about the details related to the new fund such as T&Cs, memorandum, Custodian details, SPV etc.
Operations Department	2. Create a portfolio in AM System for the fund account.

5.2 Subscriptions

RESPONSIBILITY	ACTIVITIES
Operation Officer	1. Receive the subscription form and check that the form has an accurate information with complete signatures. 2. Wait for the payment from the client to be credited through bank transfer (Fund Subscription account). 3. Insert the subscription order in AM system.
Operation Senior\Manager	4. Post or push the transaction in AM system in order to reflect the unit allocation for the client as per T&C.
Operation Officer	5. Prepare a payment to transfer the amount from the fund subscription account to the fund custody account and forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	6. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the subscription request.
Operation Officer	7. Obtain two approvals of the payments then make sure that the amount has been transferred to the custody account and reconcile all fund accounts. 8. Send the subscription confirmation letter generated by AM system to Customer Service Department in order to share it to the unit holder.

5.3 NAV & Unit Price Valuation

RESPONSIBILITY	ACTIVITIES
Operation Officer	1. Prepare the valuations trough (Daily, weekly, bi weekly, quarterly) as per T&C. 2. Send executed trades received from the broker to IT Department in order to upload it into AM system. 3. Send closing prices generated from (Bloomberg, Tadawul … etc.) to IT Department in order to upload it into AM system. 4. Valuations Basis: Net asset value of fund is calculated as under on a specified day as at the end of the business day: • Cash held in the Investment Account. • Market value of the securities held in the portfolio. • Plus cash dividends declared and receivable on the securities held. • Plus value of the free/bonus shares declared but not deposited • Plus unrealized commission income on the investments held. • Plus any other unrealized income receivable. • Minus all expenses such as bank fees, bank commission and other expenses accrued and payable • Bank accounts balances and pending with other party • Equals the Net Asset Value (NAV) / Outstanding units and calculate new Unit Price. 5. After reconcile the assets side calculate the Fees in AM system. 6. System shall generate updated Net Asset Value as per standards for the public fund. 7. Shall check the accuracy and authenticity of the NAV and new unit price calculated. 8. Approve the NAV and New unit price and send it to Operations Senior\Manager for his review and approval. Note that: 9. The net asset value and Fees is computed daily via system for the assets management public funds. 10. The valuations for Real Estate and Private Equity Funds are not prepared by Operations.
Operation Senior\Manager	11. Receives NAV and new unit price from Operations officer and reviews and approves that.
Operation Officer	12. Shall review and enter the NAV to Tadawul Website for public funds and for all funds in Company website.
Operation Senior\Manager	13. Post and approve the NAV in Tadawul Website.

Operation Officer	14. Save the daily valuation in the fund valuation file in Operation department and archive it.

5.4 Redemptions (For Public Funds)

RESPONSIBILITY	ACTIVITIES
Operation Officer	1. Receive the redemption form and check that the redemption form has an accurate information with complete signatures. 2. Insert the redemption order in AM system.
Operation Senior\Manager	3. Review and post the transaction in AM system in order to reflect the unit allocation for the client as per T&C.
Operation Officer	4. Prepare a payment to transfer the amount from the fund custody account to the settlement account then transfer it form settlement account to client account as per KYC and T&C of Fund and forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	5. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the redemption request.
Operation Officer	6. Obtain two approvals of the payments then make sure to transfer amount of redemptions units to clients and reconcile all fund accounts. 7. Send the redemption confirmation letter generated by AM system to Customer Service Department in order to share it to the unit holder.

5.5 Unit Switching (For Private Funds)

RESPONSIBILITY	ACTIVITIES
Operation Officer	1. Receive the unit transfer form and check that the form has an accurate information with complete signatures. 2. Enter the units transfer inputs in the AM system.
Operation Senior\Manager	3. Post or push the transaction in AM System in order to reflect the unit allocation for the client.
Operation Officer	4. Send the unit transfer confirmation letter generated by AM system to Customer Service Department in order to share it to the unit holder.

5.6 Invest in IPOs

RESPONSIBILITY	ACTIVITIES
Operation Coordinator\Officer	1. Receive the offering and instruction to invest in the IPO for the Fund. 2. will check the availability of cash in the fund then prepare a transfer payment letter to transfer the amount of the IPO allocution from the fund to the IPO company then forward all document to Operation Senior\Manager for review and approve.
Operation Senior\Manager	3. Will review and sign the payments and return it back to operation officer to get the approvals as per authority matrix to complete the payment.
Operation Coordinator\Officer	4. Obtain two approvals of the payment then make sure to transfer the amount of the IPO and reconcile the fund account. 5. Post the IPO invest entry in the AM system with date and amount.
Operation Senior\Manager	6. Will review and approve the entry in AM system in order to reflect.
Operation Coordinator\Officer	7. Will reconcile the fund in the system and save the payment in the file and archive it in Operation department.
Collections	Operations will receive the IPO shares in the holding report of the fund. Operation Coordinator\Officer will reconcile the fund and post the entry in the AM system with all details, then Operations Senior\Manager will review and approve.

5.7 Closing or Expiry of the Fund

RESPONSIBILITY	ACTIVITIES
Operations Department	1. Receive a close letter that was sent to CMA from compliance Department. 2. After the expiry of the fund and after the last evaluation of unit price to clients we will collect the assets in the redemptions account we then recover amounts for clients. 3. Redeem all the unit holder in the fund and transfer the amount to the unit holder bank account as per the KYC.

5.8 REIT Dividends Details Process

RESPONSIBILITY	ACTIVITIES
Fund Manager	1. Provide Operations department with the following: a. Fund Board Approval b. Announcement Template
Operations team	2. Submit the announcement template in Tadawul
Fund Manager	3. Requests the unit holder list from EDAA **Note:** The distribution file is requested by trading with the closing of the second trading day (T + 2) from the entitlement day. The file is a detail consisting of 18 columns at the portfolio level. Also, the number of units and the amount of the dividend distribution in the letter must match the file, and the letter should be clear and detailed as well. (That is, it must be confirmed that the total number of units in the excel file * distributed profit % = the sum of the amount of distributed profits) based on the announcement of earnings in Tadawul.
Fund Manager	4. Review and approve the file
Operations team	5. Review the file
Fund Manager	6. Provide the Operations team with the Profit disbursement letter signed by the authorized persons in addition to the distribution file.
Operations team	7. Submit the approved Letter and distribution file to the distributed bank
Bank	8. Will send the distribution status to the Fund Manager and Operations team on a weekly basis.
Fund Manager	9. If the client does not receive the dividends, the Fund Manager will check the distribution status statement. If the client did not receive the dividends, the Fund manager will prepare a letter signed by the authorized person addressed to the bank.

6. AMENDMENT TO THE POLICY

This procedure document will be reviewed and updated at least once every three years or as and when needed.